

1 ENGROSSED SENATE
2 BILL NO. 1944

By: Murdock of the Senate

3 and

4 Newton of the House

5
6 An Act relating to the Administrative Workers'
7 Compensation Act; amending 85A O.S. 2021, Section 2,
8 as amended by Section 1, Chapter 67, O.S.L. 2025 (85A
9 O.S. Supp. 2025, Section 2), which relates to
10 definitions; modifying definition; and providing an
11 effective date.

12 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

13 SECTION 1. AMENDATORY 85A O.S. 2021, Section 2, as
14 amended by Section 1, Chapter 67, O.S.L. 2025 (85A O.S. Supp. 2025,
15 Section 2), is amended to read as follows:

16 Section 2. As used in the Administrative Workers' Compensation
17 Act:

18 1. "Actually dependent" means a surviving spouse, a child or
19 any other person who receives one-half (1/2) or more of his or her
20 support from the employee;

21 2. "Carrier" means any stock company, mutual company, or
22 reciprocal or interinsurance exchange authorized to write or carry
23 on the business of workers' compensation insurance in this state.
24 Whenever required by the context, the term carrier shall be deemed
to include duly qualified self-insureds or self-insured groups;

3. "Case management" means the ongoing coordination, by a case manager, of health care services provided to an injured or disabled worker, including but not limited to systematically monitoring the treatment rendered and the medical progress of the injured or disabled worker; ensuring that any treatment plan follows all appropriate treatment protocols, utilization controls and practice parameters; assessing whether alternative health care services are appropriate and delivered in a cost-effective manner based upon acceptable medical standards; and ensuring that the injured or disabled worker is following the prescribed health care plan;

4. "Case manager" means a person who is a registered nurse with a current, active unencumbered license from the Oklahoma Board of Nursing, or possesses one or more of the following certifications which indicate the individual has a minimum number of years of case management experience, has passed a national competency test and regularly obtains continuing education hours to maintain certification:

- a. Certified Disability Management Specialist (CDMS),
- b. Certified Case Manager (CCM),
- c. Certified Rehabilitation Registered Nurse (CRRN),
- d. Case Manager - Certified (CMC),
- e. Certified Occupational Health Nurse (COHN), or
- f. Certified Occupational Health Nurse Specialist (COHN-S);

1 5. "Certified workplace medical plan" means an organization of
2 health care providers or any other entity, certified by the State
3 Commissioner of Health, that is authorized to enter into a
4 contractual agreement with an employer, a group self-insurance
5 association plan, an employer's workers' compensation insurance
6 carrier, a third-party administrator or an insured to provide
7 medical care under the Administrative Workers' Compensation Act.
8 Certified plans shall only include plans which provide medical
9 services and payment for services on a fee-for-service basis to
10 medical providers;

11 6. "Child" means a natural or adopted son or daughter of the
12 employee under eighteen (18) years of age; or a natural or adopted
13 son or daughter of an employee eighteen (18) years of age or over
14 who is physically or mentally incapable of self-support; or any
15 natural or adopted son or daughter of an employee eighteen (18)
16 years of age or over who is actually dependent; or any natural or
17 adopted son or daughter of an employee between eighteen (18) and
18 twenty-three (23) years of age who is enrolled as a full-time
19 student in any accredited educational institution. The term child
20 includes a posthumous child, a child legally adopted or one for whom
21 adoption proceedings are pending at the time of death, an actually
22 dependent stepchild or an actually dependent acknowledged child born
23 out of wedlock;

1 7. "Claimant" means a person who claims benefits for an injury
2 or occupational disease pursuant to the provisions of the
3 Administrative Workers' Compensation Act;

4 8. "Commission" means the Oklahoma Workers' Compensation
5 Commission;

6 9. a. "Compensable injury" means damage or harm to the
7 physical structure of the body, or damage or harm to
8 prosthetic appliances, including eyeglasses, contact
9 lenses, or hearing aids, of which the major cause is
10 either an accident, cumulative trauma or occupational
11 disease arising out of the course and scope of
12 employment. An "accident" means an event involving
13 factors external to the employee that:

14 (1) was unintended, unanticipated, unforeseen,
15 unplanned and unexpected,

16 (2) occurred at a specifically identifiable time and
17 place,

18 (3) occurred by chance or from unknown causes, or

19 (4) was independent of sickness, mental incapacity,
20 bodily infirmity or any other cause.

21 b. Compensable injury does not include:

22 (1) injury to any active participant in assaults or
23 combats which, although they may occur in the
24 workplace, are the result of non-employment-

1 related hostility or animus of one, both, or all
2 of the combatants and which assault or combat
3 amounts to a deviation from customary duties;
4 provided, however, injuries caused by horseplay
5 shall not be considered to be compensable
6 injuries, except for innocent victims,

7 (2) injury incurred while engaging in or performing
8 or as the result of engaging in or performing any
9 recreational or social activities for the
10 employee's personal pleasure,

11 (3) injury which was inflicted on the employee at a
12 time when employment services were not being
13 performed or before the employee was hired or
14 after the employment relationship was terminated,

15 (4) injury if the accident was caused by the use of
16 alcohol, illegal drugs, or prescription drugs
17 used in contravention of physician's orders. If
18 a biological specimen is collected within twenty-
19 four (24) hours of the employee being injured or
20 reporting an injury, or if at any time after the
21 injury a biological specimen is collected by the
22 Office of the Chief Medical Examiner if the
23 injured employee does not survive for at least
24 twenty-four (24) hours after the injury and the

1 employee tests positive for intoxication, an
2 illegal controlled substance, or a legal
3 controlled substance used in contravention to a
4 treating physician's orders, or refuses to
5 undergo the drug and alcohol testing, there shall
6 be a rebuttable presumption that the injury was
7 caused by the use of alcohol, illegal drugs, or
8 prescription drugs used in contravention of
9 physician's orders. This presumption may only be
10 overcome if the employee proves by clear and
11 convincing evidence that his or her state of
12 intoxication had no causal relationship to the
13 injury,

- 14 (5) any strain, degeneration, damage or harm to, or
15 disease or condition of, the eye or
16 musculoskeletal structure or other body part
17 resulting from the natural results of aging,
18 osteoarthritis, arthritis, or degenerative
19 process including, but not limited to,
20 degenerative joint disease, degenerative disc
21 disease, degenerative
22 spondylosis/spondylolisthesis and spinal
23 stenosis, or
24

1 (6) any preexisting condition except when the
2 treating physician clearly confirms an
3 identifiable and significant aggravation incurred
4 in the course and scope of employment.

5 c. A compensable injury shall be established by medical
6 evidence supported by objective findings as defined in
7 paragraph 31 of this section.

8 d. The injured employee shall prove by a preponderance of
9 the evidence that he or she has suffered a compensable
10 injury.

11 e. Benefits shall not be payable for a condition which
12 results from a non-work-related independent
13 intervening cause following a compensable injury which
14 causes or prolongs disability or aggravation or
15 requires treatment. A non-work-related independent
16 intervening cause does not require negligence or
17 recklessness on the part of a claimant.

18 f. An employee who suffers a compensable injury shall be
19 entitled to receive compensation as prescribed in the
20 Administrative Workers' Compensation Act.

21 Notwithstanding other provisions of law, if it is
22 determined that a compensable injury did not occur,
23 the employee shall not be entitled to compensation
24 under the Administrative Workers' Compensation Act;

1 10. "Compensation" means the money allowance payable to the
2 employee or to his or her dependents and includes the medical
3 services and supplies provided for in Section 50 of this title and
4 funeral expenses;

5 11. "Consequential injury" means injury or harm to a part of
6 the body that is a direct result of the injury or medical treatment
7 to the part of the body originally injured in the claim. The
8 Commission shall not make a finding of a consequential injury unless
9 it is established by objective medical evidence that medical
10 treatment for such part of the body is required;

11 12. "Continuing medical maintenance" means medical treatment
12 that is reasonable and necessary to maintain a claimant's condition
13 resulting from the compensable injury or illness after reaching
14 maximum medical improvement. Continuing medical maintenance shall
15 not include diagnostic tests, surgery, injections, counseling,
16 physical therapy, or pain management devices or equipment;

17 13. "Course and scope of employment" means an activity of any
18 kind or character for which the employee was hired and that relates
19 to and derives from the work, business, trade or profession of an
20 employer, and is performed by an employee in the furtherance of the
21 affairs or business of an employer. The term includes activities
22 conducted on the premises of an employer or at other locations
23 designated by an employer and travel by an employee in furtherance
24

1 of the affairs of an employer that is specifically directed by the
2 employer. This term does not include:

- 3 a. an employee's transportation to and from his or her
4 place of employment,
- 5 b. travel by an employee in furtherance of the affairs of
6 an employer if the travel is also in furtherance of
7 personal or private affairs of the employee,
- 8 c. any injury occurring in a parking lot or other common
9 area adjacent to an employer's place of business
10 before the employee clocks in or otherwise begins work
11 for the employer or after the employee clocks out or
12 otherwise stops work for the employer unless the
13 employer owns or maintains exclusive control over the
14 area, or
- 15 d. any injury occurring while an employee is on a work
16 break, unless the injury occurs while the employee is
17 on a work break inside the employer's facility or in
18 an area owned by or exclusively controlled by the
19 employer and the work break is authorized by the
20 employee's supervisor;

21 14. "Cumulative trauma" means an injury to an employee that is
22 caused by the combined effect of repetitive physical activities
23 extending over a period of time in the course and scope of
24 employment. Cumulative trauma shall not mean fatigue, soreness or

1 general aches and pain that may have been caused, aggravated,
2 exacerbated or accelerated by the employee's course and scope of
3 employment. Cumulative trauma shall have resulted directly and
4 independently of all other causes;

5 15. "Death" means only death resulting from compensable injury
6 as defined in paragraph 9 of this section;

7 16. "Disability" means incapacity because of compensable injury
8 to earn, in the same or any other employment, substantially the same
9 amount of wages the employee was receiving at the time of the
10 compensable injury;

11 17. "Drive-away operations" includes every person engaged in
12 the business of transporting and delivering new or used vehicles by
13 driving, either singly or by towbar, saddle-mount or full-mount
14 method, or any combination thereof, with or without towing a
15 privately owned vehicle;

16 18. a. "Employee" means any person, including a minor, in the
17 service of an employer under any contract of hire or
18 apprenticeship, written or oral, expressed or implied,
19 but excluding one whose employment is casual and not
20 in the course of the trade, business, profession, or
21 occupation of his or her employer and excluding one
22 who is required to perform work for a municipality or
23 county or the state or federal government on having
24 been convicted of a criminal offense or while

1 incarcerated. Employee shall also include a member of
2 the Oklahoma National Guard while in the performance
3 of duties only while in response to state orders and
4 any authorized voluntary or uncompensated worker,
5 rendering services as a firefighter, law enforcement
6 officer or emergency management worker. Travel by a
7 police officer, fireman, or a member of a first aid or
8 rescue squad, in responding to and returning from an
9 emergency, shall be deemed to be in the course of
10 employment.

11 b. The term employee shall not include:

12 (1) any person for whom an employer is liable under
13 any Act of Congress for providing compensation to
14 employees for injuries, disease or death arising
15 out of and in the course of employment including,
16 but not limited to, the Federal Employees'
17 Compensation Act, the Federal Employers'
18 Liability Act, the Longshore and Harbor Workers'
19 Compensation Act and the Jones Act, to the extent
20 his or her employees are subject to such acts,

21 (2) any person who is employed in agriculture,
22 ranching or horticulture by an employer who had a
23 gross annual payroll in the preceding calendar
24 year of less than ~~One Hundred Thousand Dollars~~

1 ~~(\$100,000.00)~~ Two Hundred Fifty Thousand Dollars
2 (\$250,000.00) in wages for agricultural, ranching
3 or horticultural workers, or any person who is
4 employed in agriculture, ranching or horticulture
5 who is not engaged in operation of motorized
6 machines. This exemption applies to any period
7 of time for which such employment exists,
8 irrespective of whether or not the person is
9 employed in other activities for which the
10 exemption does not apply. If the person is
11 employed for part of a year in exempt activities
12 and for part of a year in nonexempt activities,
13 the employer shall be responsible for providing
14 workers' compensation only for the period of time
15 for which the person is employed in nonexempt
16 activities. This exemption applies to an
17 independent contractor who meets at least four of
18 the following conditions:

- 19 (a) performs specific services or work for a
20 specific payment and controls how the work
21 is performed,
22 (b) can perform work for others at his or her
23 own election without going through an
24 employment process,

1 (c) receives compensation on a per-job,
2 competitive-bid, or contract basis, not as
3 an employee,
4 (d) may incur profit or loss from performing the
5 work based on business receipts instead of
6 expenditures, or
7 (e) has continuing business obligations,
8 liabilities, and a chance of profit or loss,

9 (3) any person who is a licensed real estate sales
10 associate or broker, paid on a commission basis,

11 (4) any person employed by an employer with five or
12 fewer total employees, all of whom are related
13 within the second degree by blood or marriage to
14 the employer, all of whom are dependents living
15 in the household of the employer, or all of whom
16 are a combination of such relatives and
17 dependents. If the employer is not a natural
18 person such relative shall be related within the
19 second degree by blood or marriage to a person
20 who owns fifty percent (50%) or more of the
21 employer, or such dependent shall be in the
22 household of a person who owns fifty percent
23 (50%) or more of the employer,
24

- 1 (5) any person employed by an employer which is a
2 youth sports league which qualifies for exemption
3 from federal income taxation pursuant to federal
4 law,
- 5 (6) sole proprietors, members of a partnership,
6 individuals who are party to a franchise
7 agreement as set out by the Federal Trade
8 Commission franchise disclosure rule, 16 CFR
9 436.1 through 436.11, members of a limited
10 liability company who own at least ten percent
11 (10%) of the capital of the limited liability
12 company or any stockholder-employees of a
13 corporation who own ten percent (10%) or more
14 stock in the corporation, unless they elect to be
15 covered by a policy of insurance covering
16 benefits under the Administrative Workers'
17 Compensation Act,
- 18 (7) any person providing or performing voluntary
19 service who receives no wages for the services
20 other than meals, drug or alcohol rehabilitative
21 therapy, transportation, lodging or reimbursement
22 for incidental expenses except for volunteers
23 specifically provided for in subparagraph a of
24 this paragraph,

1 (8) a person, commonly referred to as an owner-
2 operator, who owns or leases a truck-tractor or
3 truck for hire, if the owner-operator actually
4 operates the truck-tractor or truck and if the
5 person contracting with the owner-operator is not
6 the lessor of the truck-tractor or truck.
7 Provided, however, an owner-operator shall not be
8 precluded from workers' compensation coverage
9 under the Administrative Workers' Compensation
10 Act if the owner-operator elects to participate
11 as a sole proprietor,

12 (9) a person referred to as a drive-away owner-
13 operator who privately owns and utilizes a tow
14 vehicle in drive-away operations and operates
15 independently for hire, if the drive-away owner-
16 operator actually utilizes the tow vehicle and if
17 the person contracting with the drive-away owner-
18 operator is not the lessor of the tow vehicle.
19 Provided, however, a drive-away owner-operator
20 shall not be precluded from workers' compensation
21 coverage under the Administrative Workers'
22 Compensation Act if the drive-away owner-operator
23 elects to participate as a sole proprietor,
24

- 1 (10) any person who is employed as a domestic servant
2 or as a casual worker in and about a private home
3 or household, which private home or household had
4 a gross annual payroll in the preceding calendar
5 year of less than Fifty Thousand Dollars
6 (\$50,000.00) for such workers, and
7 (11) any person engaging in a temporary work
8 arrangement that allows the individual to observe
9 a work environment and gain work experience
10 without the expectation of financial
11 compensation;

12 19. "Employer" means a natural person, partnership,
13 association, limited liability company, corporation, and the legal
14 representatives of a deceased employer, or the receiver or trustee
15 of a person, partnership, association, corporation, or limited
16 liability company, departments, instrumentalities and institutions
17 of this state and divisions thereof, counties and divisions thereof,
18 public trusts, boards of education and incorporated cities or towns
19 and divisions thereof, employing a person included within the term
20 employee as defined in this section. Employer may also mean the
21 employer's workers' compensation insurance carrier, if applicable.
22 Except as provided otherwise, the Administrative Workers'
23 Compensation Act applies to all public and private entities and
24 institutions;

1 20. "Employment" includes work or labor in a trade, business,
2 occupation or activity carried on by an employer or any authorized
3 voluntary or uncompensated worker rendering services as a
4 firefighter, peace officer or emergency management worker;

5 21. "Evidence-based" means expert-based, literature-supported
6 and outcomes validated by well-designed randomized trials when such
7 information is available and which uses the best available evidence
8 to support medical decision making;

9 22. "Gainful employment" means the capacity to perform
10 employment for wages for a period of time that is not part-time,
11 occasional or sporadic;

12 23. "Impaired self-insurer" means a private self-insurer or
13 group self-insurance association that fails to pay its workers'
14 compensation obligations, or is financially unable to do so and is
15 the subject of any proceeding under the Federal Bankruptcy Reform
16 Act of 1978, and any subsequent amendments or is the subject of any
17 proceeding in which a receiver, custodian, liquidator,
18 rehabilitator, trustee or similar officer has been appointed by a
19 court of competent jurisdiction to act in lieu of or on behalf of
20 the self-insurer;

21 24. "Incapacity" means inadequate strength or ability to
22 perform a work-related task;

23 25. "Insurance Commissioner" means the Insurance Commissioner
24 of this state;

1 26. "Insurance Department" means the Insurance Department of
2 this state;

3 27. "Major cause" means more than fifty percent (50%) of the
4 resulting injury, disease or illness. A finding of major cause
5 shall be established by a preponderance of the evidence. A finding
6 that the workplace was not a major cause of the injury, disease or
7 illness shall not adversely affect the exclusive remedy provisions
8 of the Administrative Workers' Compensation Act and shall not create
9 a separate cause of action outside the Administrative Workers'
10 Compensation Act;

11 28. "Maximum medical improvement" means that no further
12 material improvement would reasonably be expected from medical
13 treatment or the passage of time;

14 29. "Medical services" means those services specified in
15 Section 50 of this title;

16 30. "Misconduct" shall include the following:

- 17 a. unexplained absenteeism or tardiness,
- 18 b. willful or wanton indifference to or neglect of the
19 duties required,
- 20 c. willful or wanton breach of any duty required by the
21 employer,
- 22 d. the mismanagement of a position of employment by
23 action or inaction,
- 24

- e. actions or omissions that place in jeopardy the health, life, or property of self or others,
- f. dishonesty,
- g. wrongdoing,
- h. violation of a law, or
- i. violation of a policy or rule adopted to ensure orderly work or the safety of self or others;

31. a. (1) "Objective findings" are those findings which cannot come under the voluntary control of the patient.

(2) (a) When determining permanent disability, a physician, any other medical provider, an administrative law judge, the Commission or the courts shall not consider complaints of pain.

(b) For the purpose of making permanent disability ratings to the spine, physicians shall use criteria established by the Sixth Edition of the American Medical Association "Guides to the Evaluation of Permanent Impairment".

(3) (a) Objective evidence necessary to prove permanent disability in occupational hearing loss cases may be established by medically

1 recognized and accepted clinical diagnostic
2 methodologies, including, but not limited
3 to, audiological tests that measure air and
4 bone conduction thresholds and speech
5 discrimination ability.

6 (b) Any difference in the baseline hearing
7 levels shall be confirmed by subsequent
8 testing; provided, however, such test shall
9 be given within four (4) weeks of the
10 initial baseline hearing level test but not
11 before five (5) days after being adjusted
12 for presbycusis.

13 b. Medical opinions addressing compensability and
14 permanent disability shall be stated within a
15 reasonable degree of medical certainty;

16 32. "Official Disability Guidelines" or "ODG" means the current
17 edition of the Official Disability Guidelines and the ODG Treatment
18 in Workers' Comp as published by the Work Loss Data Institute;

19 33. "Permanent disability" means the extent, expressed as a
20 percentage, of the loss of a portion of the total physiological
21 capabilities of the human body as established by competent medical
22 evidence and based on the Sixth Edition of the American Medical
23 Association "Guides to the Evaluation of Permanent Impairment", if
24 the impairment is contained therein;

1 34. "Permanent partial disability" means a permanent disability
2 or loss of use after maximum medical improvement has been reached
3 which prevents the injured employee, who has been released to return
4 to work by the treating physician, from returning to his or her pre-
5 injury or equivalent job. All evaluations of permanent partial
6 disability must be supported by objective findings;

7 35. "Permanent total disability" means, based on objective
8 findings, incapacity, based upon accidental injury or occupational
9 disease, to earn wages in any employment for which the employee may
10 become physically suited and reasonably fitted by education,
11 training, experience or vocational rehabilitation provided under the
12 Administrative Workers' Compensation Act. Loss of both hands, both
13 feet, both legs, or both eyes, or any two thereof, shall constitute
14 permanent total disability;

15 36. "Preexisting condition" means any illness, injury, disease,
16 or other physical or mental condition, whether or not work-related,
17 for which medical advice, diagnosis, care or treatment was
18 recommended or received preceding the date of injury;

19 37. "Pre-injury or equivalent job" means the job that the
20 claimant was working for the employer at the time the injury
21 occurred or any other employment offered by the claimant's employer
22 that pays at least one hundred percent (100%) of the employee's
23 average weekly wage;

1 38. "Private self-insurer" means a private employer that has
2 been authorized to self-insure its workers' compensation obligations
3 pursuant to the Administrative Workers' Compensation Act, but does
4 not include group self-insurance associations authorized by the
5 Administrative Workers' Compensation Act, or any public employer
6 that self-insures pursuant to the Administrative Workers'
7 Compensation Act;

8 39. "Prosthetic" means an artificial device used to replace a
9 part or joint of the body that is lost or injured in an accident or
10 illness covered by the Administrative Workers' Compensation Act;

11 40. "Scheduled member" or "member" means hands, fingers, arms,
12 legs, feet, toes, and eyes. In addition, for purposes of the
13 Multiple Injury Trust Fund only, scheduled member means hearing
14 impairment;

15 41. "Scientifically based" involves the application of
16 rigorous, systematic, and objective procedures to obtain reliable
17 and valid knowledge relevant to medical testing, diagnoses and
18 treatment; is adequate to justify the general conclusions drawn; and
19 has been accepted by a peer-review journal or approved by a panel of
20 independent experts through a comparably rigorous, objective, and
21 scientific review;

22 42. "State average weekly wage" means the state average weekly
23 wage determined by the Oklahoma Employment Security Commission in
24 the preceding calendar year. If such determination is not

1 available, the Commission shall determine the wage annually after
2 reasonable investigation;

3 43. "Subcontractor" means a person, firm, corporation or other
4 legal entity hired by the general or prime contractor to perform a
5 specific task for the completion of a work-related activity;

6 44. "Surgery" does not include an injection, or the forcing of
7 fluids beneath the skin, for treatment or diagnosis;

8 45. "Surviving spouse" means the employee's spouse by reason of
9 a legal marriage recognized by this state or under the requirements
10 of a common law marriage in this state, as determined by the
11 Oklahoma Workers' Compensation Commission;

12 46. "Temporary partial disability" means an injured employee
13 who is temporarily unable to perform his or her job, but may perform
14 alternative work offered by the employer;

15 47. "Time of accident" or "date of accident" means the time or
16 date of the occurrence of the accidental incident from which
17 compensable injury, disability, or death results; and

18 48. "Wages" means money compensation received for employment at
19 the time of the accident, including the reasonable value of board,
20 rent, housing, lodging, or similar advantage received from the
21 employer and includes the amount of tips required to be reported by
22 the employer under Section 6053 of the Internal Revenue Code and the
23 regulations promulgated pursuant thereto or the amount of actual
24 tips reported, whichever amount is greater.

SECTION 2. This act shall become effective November 1, 2026.

Passed the Senate the 26th day of March, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the ____ day of _____,
2026.

Presiding Officer of the House
of Representatives